Session 4.3: The Super-App Strategy (Case Study: Grab)



CampusGo: an app students open almost every day

CampusGo is Ama's app for booking seats on campus shuttles. She wants it to become the one app for daily campus life. An investor says: "Launch food, laundry, printing, tickets, and a wallet at once, with big discounts."

CAMPUSGO (ONE MONTH)	VALUE
Students who use the app	**12,000**
Shuttle rides per student per month	**10**
Profit per ride	**$0.20**
Monthly profit (12,000 x 10 x $0.20)	**$24,000**
Other services	**None**

What is the Super-App Strategy?

One app that people use very often becomes **a single app for many daily services**. It starts with a **front door**, a service people open many times a week, then adds services for the same users, such as food delivery, payments, and loans, under **one account and one wallet**. Each new service is cheaper to launch because the users are already there (Session 3.1). Grab and WeChat are the best-known examples.

Use it when your app is used very often, your users need other services that fit next to it, and you can make each service pay for itself in time.

Super-app, front door, usage frequency

Super-app

One app that offers many everyday services under one account and one wallet.

Example: an app for rides, food delivery, and payments.

Front door

The service that brings people into the app many times a week.

Example: CampusGo's shuttle booking, used 10 times a month.

Usage frequency

How often a person uses a service in a period.

Example: 10 rides a month is high; buying a laptop once in three years is low.

E-wallet, subsidy, contribution

E-wallet

Money stored in an app that can pay for any service in it.

Example: a student adds $20 and pays for rides and food.

Subsidy

(incentive)

Money a company spends to make a service cheaper for users or more attractive for drivers or shops.

Example: CampusGo pays $1 of every food order.

Contribution

What a service earns after its own direct costs and subsidies.

= revenue - direct costs - subsidies

Example: $10,000 - $7,000 - $1,000 = $2,000.

Rule 1: Start with a service people use very often

The front door must bring users back many times a week. Rarely used services cannot hold up a super-app.



DO

Example

CampusGo is opened 10 times a month by 12,000 students, so a new service inside it is seen by many students right away.

AVOID

Common mistake

Building a super-app around something people use once a year, such as booking graduation photos. Users forget the app.

Rule 2: Add services the same users already need, one at a time

Each new service should fit naturally next to the front door, and should be good before the next one is added.



DO

Example

Students take the shuttle to class, and many order lunch on the way. Food comes first; laundry only after food works well.

AVOID

Common mistake

Launching many services at once. Each one is weak, users have bad experiences, and the whole app gets a bad name.

Rule 3: Connect services with one safe wallet

A wallet makes every service easier to use, but money and personal data need strong protection and must follow the law.



DO

Example

The CampusGo wallet works with a licensed bank partner, checks each user's identity, and pays for rides and food with one tap.

AVOID

Common mistake

Holding users' money without the right licence or checks. Regulators can stop the service, and users stop trusting the app.

Rule 4: Make each service pay for itself in time

Subsidies can start a service, but every service should reach a positive contribution on its own. Stop paying people to use it.



DO

Example

CampusGo pays $1 of each food order for the first two months only, then checks whether food earns money without it.

AVOID

Common mistake

Using discounts forever to keep users in every service. The app grows in users but loses more money each month.

Grab

What happened

Grab started in 2012 as a taxi-booking app in Malaysia and became a super-app across Southeast Asia, adding food delivery, package delivery, payments, and loans. For years it spent heavily on incentives and lost money. As it cut incentives, it improved: in 2024, revenue grew 19% to $2.8 billion and adjusted EBITDA (a measure of operating profit) turned positive at $313 million, though it still had a net loss of $158 million.

Why it is good

- Rides were a front door used many times a week. **(Rule 1)**
- Food, delivery, and payments were added for the same users. **(Rule 2)**
- GrabPay connected the services. **(Rule 3)**
- *Lesson:* years of losses show how costly subsidies are. **(Rule 4)**

GOOD EXAMPLE 2

WeChat

What happened

WeChat started in 2011 as a messaging app in China. In 2013 it added WeChat Pay. In 2014, at Chinese New Year, users could send digital red envelopes (gifts of money), and many linked their bank cards for the first time. In 2017 it added mini programs from other companies. In early 2025, WeChat had about 1.4 billion monthly users.

Why it is good

- Messaging is used many times a day: the strongest front door. **(Rule 1)**
- Each new service fitted what users already did with friends. **(Rule 2)**
- Red envelopes gave a fun reason to link a bank card. **(Rule 3)**

Paytm Payments Bank

What happened

Paytm, a large Indian payments app, offered wallets, bank accounts, and many other services through Paytm Payments Bank. In January 2024, the Reserve Bank of India ordered the bank to stop taking new deposits and top-ups after February 29, 2024, because audits found "persistent non-compliances." Millions of users had to move their money elsewhere.

Why it is bad

- The wallet and bank did not follow the regulator's rules. **(Rule 3)**
- When the money service stopped, users lost trust in the other services too.
- In a super-app, a problem in one service hurts all the others.

BAD EXAMPLE 2

Facebook's Libra (Diem)

What happened

In 2019, Facebook announced Libra, a new digital currency for its apps, such as Messenger and WhatsApp. Governments and central banks worried about risks to money and privacy. After years of pushback, the project (renamed Diem) was shut down, and its technology was sold to Silvergate Bank in 2022 for about $182 million.

Why it is bad

- Tried to add a very large money service before regulators trusted it. **(Rule 3)**
- Started with a whole new currency, not a small service users already needed. **(Rule 2)**
- Years of work ended without a launched product.

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Grab	**Good**	A busy front door, then services for the same users (Rules 1 and 2)
WeChat	**Good**	A daily habit, then a wallet people wanted (Rules 1 and 3)
Paytm Payments Bank	**Bad**	Money service broke the rules (Rule 3)
Libra (Diem)	**Bad**	Too big a money service, too early (Rules 2 and 3)

One busy front door, one good service at a time, one safe wallet, and every service paying its own way.

Tool 1: The front-door test

USED IN EXERCISE 1

Formula

Uses per month = users x times each user opens the service per month

WHAT IT LOOKS LIKE

Example

- Bus-ticket app: 5,000 users x 20 trips = 100,000 uses a month.
- Car-buying app: 5,000 users x 0.03 purchases = 150 uses a month.
- Only the bus app can be a front door.

Tool 2: Users who try a new service

USED IN EXERCISE 3

Formula

New service users = app users x share who try it

WHAT IT LOOKS LIKE

Example

- 12,000 users; 20% order food.
- 12,000 x 20% = 2,400 food users.

Tool 3: Contribution of each service

USED IN EXERCISES 2 AND 3

Formula

Contribution = revenue - direct costs - subsidies

WHAT IT LOOKS LIKE

Example: food delivery

- Revenue $10,000; restaurants and riders $7,000; discounts $1,000.
- $10,000 - $7,000 - $1,000 = $2,000.

Tool 4: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If food delivery does not reach a positive contribution by month 3 without discounts, we will not add laundry."

Can it be a front door?

Six apps want to become super-apps:

- (a) A messaging app people use every day.
- (b) A wedding-planning app.
- (c) A bus-ticket app that commuters use twice a day.
- (d) A car-buying website.
- (e) A mobile payment app used for coffee and lunch.
- (f) A tax-filing app used once a year.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

App [letter]: [good front door / weak front door], because people use it
[how often], so [what this means for other services in the app].

WORKED EXAMPLE: TWO OTHER APPS

App: food delivery used three times a week.
Good front door, because people use it three times a week, so a grocery service inside it would be seen often.
App: booking house movers.
Weak front door, because people use it once every few years, so they would forget any other service in it.

How often do people open it?

APP	ANSWER	WHY
(a) Messaging	Good	Every day
(b) Wedding planning	Weak	Once or twice in a lifetime
(c) Bus tickets	Good	Twice a day
(d) Car buying	Weak	Once in several years
(e) Mobile payments	Good	Several times a week
(f) Tax filing	Weak	Once a year

Which services pay for themselves? CityDay

SERVICE (ONE MONTH)	REVENUE	DIRECT COSTS	SUBSIDIES
Rides	**$50,000**	**$30,000**	**$5,000**
Food delivery	**$40,000**	**$30,000**	**$15,000**
Groceries	**$20,000**	**$16,000**	**$2,000**
Movie tickets	**$5,000**	**$2,000**	**$6,000**

- **Step 1:** Contribution of each service (Tool 3), and the total.
- **Step 2:** For each service: keep, fix (cut subsidies), or stop. Use the template on the next slide.

Use the template

TEMPLATE

[Service]: contribution $[amount]. Without subsidies it would be $[amount].
We should [keep / fix / stop] it, because [Rule 4 reason, or how it helps the front door].

WORKED EXAMPLE: LAUNDRY IN ANOTHER APP

Laundry earns $8,000, costs $6,000, subsidies $3,000.
Laundry: contribution -$1,000. Without subsidies it would be $2,000.
We should fix it by cutting the subsidy step by step, because the service itself earns money and only the discounts make it lose (Rule 4).

Two services pay their way; two need fixing

- Rides = **$15,000**; food = **-$5,000**; groceries = **$2,000**; movie tickets = **-$3,000**; total = **$9,000**.
- Without subsidies: food would earn $10,000; movie tickets $3,000.
- Keep rides (the front door) and groceries.
- Fix food by cutting its $15,000 subsidy step by step (Rule 4).
- Fix or stop movie tickets: used rarely (Rule 1), and the subsidy is larger than the revenue.

All at once, or one at a time? CampusGo's next 6 months

12,000 students / $24,000 monthly profit from rides

ALL AT ONCE

Option A: Five services at once

Food, laundry, printing, tickets, and a wallet: **$80,000** to build, plus **$10,000** a month of discounts.

Expect **30%** of students to use them, **$3** profit each a month.

ONE AT A TIME

Option B: One service at a time

Food delivery and a simple wallet: **$25,000**, discounts only in the first two months (**$2,000** a month).

Expect **25%** to order food, **$2** profit each a month. Laundry only if food works.

Calculate before you decide (Tools 2 and 3)

- Option A: users = 12,000 x 30% = _____; extra profit = users x $3 x 6 = $_____; costs = $80,000 + 6 x $10,000 = $_____; result = $_____
- Option B: food users = 12,000 x 25% = _____; extra profit = users x $2 x 6 = $_____; costs = $25,000 + 2 x $2,000 = $_____; result = $_____
- Option B if only 10% order food: result = $_____
- Option A if only 15% use the new services: result = $_____

Write a 3-bullet memo to Ama (Tool 4)

TEMPLATE

To: [founder name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next three months we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

CityDay: fix food delivery

To: Victor Lam, CEO, CityDay
1. Decision and evidence: We should cut the food subsidy from $15,000 to $5,000 a month over three months, because food earns $10,000 before subsidies and should pay for itself (Rule 4).
2. Biggest risk and trade-off: The weakest point is that some users may order less food. We give up some food orders to stop losing $5,000 a month.
3. Next step and decision rule: In the next three months we will lower discounts step by step and measure weekly food orders. We will change this decision if orders fall by more than 30%.

All at once loses even in its good case

- Option A: 3,600 users; $64,800 extra profit; costs $140,000; result = **-$75,200**.
- Option B: 3,000 food users; $36,000 extra profit; costs $29,000; result = **$7,000**.
- Option B with 10%: $14,400 - $29,000 = **-$14,600**.
- Option A with 15%: $32,400 - $140,000 = **-$107,600**.
- Option A loses money mostly because of discounts. Option B risks much less and shows whether students want food first.

What a strong memo looks like

- Usually chooses Option B (Rules 2 and 4).
- Names a real risk: fewer students may order food than expected.
- Builds the wallet with a licensed partner (Rule 3).
- Gives a decision rule: "If fewer than 15% of students order food by month 3, we will not add laundry."

SUCCESS CHECK

Can you do these three things?

01

Explain a super-app and test whether a service can be its front door.

02

Calculate the contribution of each service with and without subsidies.

03

Compare adding services all at once with one at a time, and write a decision rule.

REFERENCES

Grab Holdings (2025, February 20). Grab reports fourth quarter and full year 2024 results.

South China Morning Post (2018). Tencent's WeChat hits 1 billion monthly active users.

Reserve Bank of India (2024, January 31). Action against Paytm Payments Bank Ltd.

Banking Dive (2022, February 1). Diem to end crypto project, sell its assets to Silvergate Bank for $182M.